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CASE #	CASE NAME	HEARING NAME
CVPS2508584	MATTISON VS LOPEZ	DEMURRER ON 1ST AMENDED COMPLAINT FOR AUTO OF ALINA MATTISON BY UBER TECHNOLOGIES, INC.

Tentative Ruling: Hearing continued to Thursday, August 20, 2026 at 8:30 a.m., Department PS2 to be heard with related Motion to Strike on operative 1st Amended Complaint.

6.

CASE #	CASE NAME	HEARING NAME
CVPS2600612	MILLER VS MYERS	DEMURRER ON 1ST AMENDED CROSS-COMPLAINT OF MOUNTAIN COVE CONDO, LLC BY DIANE MILLER

Tentative Ruling: Overruled.

Moving Plaintiff/Cross Defendant to file their answer to operative 1st Amended Cross Complaint of Mountain Cove Condo within 20 days of this order becoming final.

Responding party to provide notice pursuant to CCP 1019.5.

This action arises from Plaintiff and Cross-Defendant Diane Miller's ("Plaintiff") allegations of fraud against Defendants Daniel Beaugy ("Beaugy") and Robert Myers ("Myers").

On January 14, 2026, Plaintiff filed a Complaint against Defendants Beaugy, Myers, Robert Myers Retirement Plan ("Myers Retirement Plan"), REM Capital investments, LLC ("REM Capital"), Mountain Cove Condo, LLC ("Mountain Cove"), Lawyers Title – San Diego Escrow ("LT Escrow"), and Lawyers Title Company ("LTC"), asserting causes of action for: (1) Breach of Contract (as to Myers Retirement Plan only); (2) Elder Abuse – Count I (as to Beaugy only); (3) Elder Abuse – Count II (as to Myers and Myers Retirement Plan only); (4) Fraud (as to Myers, Myers Retirement Plan, REM Capital, and Mountain Cove only); (5) Negligent Misrepresentation (as to Myers, Myers Retirement Plan, REM Capital, and Mountain Cove only); (6) Conversion (as to Myers, Myers Retirement Plan, REM Capital, and Mountain Cove only); (7) Accounting (as to Myers, Myers Retirement Plan, REM Capital, and Beaugy only) and (8) Breach of Fiduciary Duty (as to LT Escrow and LTC only).

In the Complaint, Plaintiff alleges that at all times herein, she was over 65 years old and the owner of real property located at 46855 Mountain Cove 82, Indian Wells, California 92210 ("Property"). Plaintiff alleges that in late 2021 or early 2022, Beaugy began building a relationship of confidence and trust with her. Thereafter, Beaugy convinced Plaintiff to take a loan out against the Property and use the proceeds to invest in a mushroom farm in Escondido, California.

On February 7, 2022, Plaintiff applied for a \$165,000.00 loan from Miramar Financial Group, Inc. ("Miramar Loan"), which recorded a Promissory Note and Deed of Trust against the Property. Plaintiff alleges that Beaugy invested the entire amount in the mushroom farm, and that Plaintiff has never received any proceeds from the Miramar Loan. Plaintiff alleges that Myers is the sole owner and alter ego of Myers Retirement Plan, REM Capital, and Mountain Cove. Plaintiff further alleges that Beaugy owed REM Capital a prior debt that remained unpaid. Accordingly, Plaintiff alleges that Beaugy conspired with Myers to fraudulently use the Property as security for a new loan to pay off Beaugy's debts to REM Capital without Plaintiff's knowledge or consent. Accordingly, on June 24, 2022, Myers, through the Myers Retirement Plan, refinanced the Miramar Loan by opening escrow with LT Escrow. LTC ordered a title policy in conjunction with

the new loan ("Myers Loan"). Plaintiff alleges the Myers Loan was in the amount of \$265,000.00, as evidenced by a second Promissory Note and Deed of Trust recorded against the Property.

Plaintiff alleges that Myers ordered LT Escrow and LTC to distribute the following amounts from the Myers Loan without her knowledge or consent: (1) \$75,000.00 to REM Capital to pay off Beaugy's prior debt; and (2) \$19,125.60 directly to Beaugy. Plaintiff further alleges that LT Escrow and LTC distributed \$165,000.00 plus interest of \$2,818.00 to pay off the Miramar Loan. Plaintiff alleges that she did not receive any proceeds from the Myers Loan, and that REM Capital and Beaugy refused all demands to return her money once she discovered the existence of the Myers Loan.

Plaintiff alleges that on January 12, 2026, Myers Retirement Plan assigned all its rights in the Promissory Note and Deed of Trust to Mountain Cove Condo.

On April 15, 2026, Mountain Cove filed a Cross-Complaint against Plaintiff. The operative pleading is the First Amended Cross-Complaint ("FACC"), which Mountain Cove filed against Plaintiff on May 5, 2026, asserting causes of action for: (1) breach of contract; (2) judicial foreclosure; and (3) fraud.

In the FACC, Mountain Cove alleges that it is a special purpose entity formed by Myers, who is also the manager of REM Capital. In 2013, REM Capital loaned \$45,000.00 to Beaugy and Avantgarde Transportation, LLC, and Beaugy provided a Hummer limousine as collateral for the loan ("Hummer Loan"). In 2015, REM Capital repossessed the Hummer after Beaugy did not repay the Hummer Loan.

In March 2022, Beaugy approached Myers about investing in the mushroom farm that was funded by the Miramar Loan. Myers, Mountain Cove, REM Capital, and Myers Retirement Plan (collectively, "Myers Defendants") refused to do so. In response, Beaugy came up with the alternative idea to refinance the Miramar Loan to pay off the Hummer Loan and invest the remaining proceeds in the mushroom farm.

Mountain Cove alleges that when Myers questioned Beaugy why Plaintiff was willing to provide the Property as collateral for a new loan, Beaugy responded that Plaintiff was like a godmother to him, shared his vision regarding the mushroom farm, and that Beaugy would eventually purchase the property from Plaintiff. Based on these representations, Myers agreed to accept \$75,000.00 as payoff of the Hummer Loan.

Mountain Cove alleges that Myers never met or communicated with Plaintiff before making the Myers Loan, but only communicated with Beaugy, who Myers believed to be Plaintiff's agent. Nevertheless, Myers Retirement Plan issued the Myers Loan, which is evidenced by a Promissory Note dated June 23, 2022 ("Note") that was secured by a Deed of Trust on the Property ("Deed of Trust").

Mountain Cove alleges that Plaintiff signed the Note, which provides for interest of 10% per annum and called for monthly payments of \$2,350.00 from September 1, 2022 to November 30, 2025. Mountain Cove alleges that Plaintiff was provided with documents, including preliminary and final settlement statements, which made her aware that the proceeds of the Myer Loan would be used to pay off the Hummer Loan. Mountain Cove alleges that LTC delivered the net loan proceeds directly to Plaintiff on June 28, 2022, and that Plaintiff never complained that she was entitled to the Hummer Loan distribution until years later. Mountain Cove alleges that Plaintiff has not made a single payment on the Myers Loan and never had any intent to repay the Myers Loan.

On December 22, 2025, in anticipation of a future nonjudicial foreclosure of the Property, Myers Retirement Plan assigned the Note and Deed of Trust to Mountain Cove. On December 29, 2025, Mountain Cove initiated a nonjudicial foreclosure of the Property based on Plaintiff's defaults. On April 15, 2026, Myers Retirement Plan assigned all rights to claims against Plaintiff to Mountain Cove.

Plaintiff now demurs to the FACC and each cause of action for failure to state sufficient facts to constitute a cause of action. Specifically, Plaintiff alleges that no contract exists between the parties because Myers never communicated with Plaintiff prior to making the Myers Loan, there are no allegations that Beaugy was Plaintiff's agent, and Plaintiff never agreed to, or received consideration for, paying off the Hummer loan, as the settlement statement only describes the \$75,000.00 distribution as a "Lender fee to REM Capital Investments, LLC."

In opposition, Mountain Cove argues that Plaintiff only disputes the \$75,000.00 distribution from the Myers Loan, and fails to challenge the balance of the Myers Loan. Mountain Cove contends that a demurrer cannot lie as to only part of a cause of action. Mountain Cove further argues that Plaintiff's allegations that she was misled or did not authorize certain disbursements are improper at the demurrer stage.

Demurrer

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of Univ. of Cal.* (1990) 51 Cal.3d 120, 125.)

The court assumes the truth of all material facts which have been properly pleaded and of facts which may be inferred from those expressly pleaded. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) A demurrer, however, does not admit contentions, deductions, or conclusions of fact or law. (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defects can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

1st Cause of Action - Breach of Contract

The elements of a breach of contract claim are: (1) the existence of a contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach; and (4) resulting damages. (*San Mateo Union High School Dist. v. County of San Mateo* (2013) 213 Cal.App.4th 418, 439). "If [an] action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307.) Alternatively, the plaintiff or cross-complainant may also plead the legal effect of the contract. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 198-199.) "In order to plead a contract by its legal effect, plaintiff must allege the substance of its relevant legal terms." (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1489).

Here, Mountain Cove attaches a copy of a preliminary settlement statement for the Myers Loan (FACC, ¶ 32) and Deed of Trust (FACC, Exh. A), both of which were signed by Plaintiff on June 23, 2022. The preliminary settlement statement and Deed of Trust state that the Myers Loan was for \$265,000.00. (FACC, ¶ 32, Exh. A.) Although Mountain Cove does not attach a copy of the Note, it alleges the Note's relevant legal terms, specifically that Plaintiff promised to make monthly payments of \$2,350.00 from September 1, 2022 until maturity on November 30, 2050. (FACC, ¶ 26.)

Plaintiff contends that the FACC does not contain any allegations that Beaugy was her agent. However, the FACC alleges that Myers believed Beaugy “to be working with Miller and acting as Miller’s agent.” (FACC, ¶ 19.) “An allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer.” (*City of Industry v. City of Fillmore* (2011) 198 Cal.App.4th 191, 212.) Further, in general, the allegations in a pleading are liberally construed with a view to substantial justice between the parties. (C.C.P. § 452.) “This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant.” (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1238.) Accordingly, the FACC sufficiently alleges that Beaugy was Plaintiff’s agent for purposes of executing the Myers Loan.

Plaintiff then argues that she never agreed to pay off the Hummer Loan from the Myers Loan proceeds, and that she received no consideration in exchange for paying off the Hummer Loan. Specifically, Plaintiff contends that the preliminary settlement statement only categorizes the \$75,000.00 distribution as a “Lender fee to REM Capital” rather than a payoff of Beaugy’s prior debt. (FACC, ¶ 32.) Accordingly, Plaintiff asserts that there was not “meeting of the minds” as to this contractual term. However, a party who signs a contract is presumed to have read and understood it. (*Bolans v. Khalatian* (1991) 231 Cal.App.3d 1586, 1590 [“When a person with the capacity of reading and understanding an instrument signs it, he may not, in the absence of fraud, coercion or excusable neglect, avoid its terms on the ground he failed to read it before signing it.”].) Similarly, one who assents to a contract is bound by its provisions and cannot complain of unfamiliarity with its language. (*Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 710.)

Here, the face of the FACC shows that Plaintiff signed the preliminary settlement statement and Deed of Trust. (FACC, ¶ 32 and Exh. A.) To the extent that Plaintiff raises an allegation of fraud as to the characterization of the \$75,000.00 loan, in ruling on a demurrer, a trial court may not “make any factual findings at all, including ‘implicit’ ones.” (*Mink v. Maccabee* (2004) 121 Cal.App.4th 835, 839.) The limited role of a demurrer is to test the legal sufficiency of a complaint. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) Plaintiff has failed to contest her agreement to the Myers Loan itself through judicially noticed documents or any legal authority. Accordingly, Mountain Cove has sufficiently alleged the existence of a contract between the parties for purposes of a demurrer. (FACC, ¶ 47.)

The FACC also sufficiently alleges the remaining elements of a breach of contract claim, as it states that Myers Retirement Plan and Mountain Cove performed all obligations by making the Myers Loan, Plaintiff breached the agreement by failing to make monthly payments, and such breach damaged Mountain Cove in the amount of all amounts due and owing. (FACC, ¶ 48-52.)
OVERULED.

2ND Cause of Action - Judicial Foreclosure

Code of Civil Procedure section 726(a) states in relevant part: “There can be but one form of action for the recovery of any debt or the enforcement of any right secured by mortgage upon real property or an estate for years therein....” “The purpose of the one action rule is to prevent a secured creditor from enforcing its rights by seeking recourse to more than one remedy, such as by obtaining both a money judgment on the mortgage debt and by foreclosing on the mortgage.” (*CJA Corp. v. Trans-Action Financial Corp.* (2001) 86 Cal.App.4th 664, 668-669.) The purpose of a foreclosure sale is to apply the security to payment of the debt and terminate the trustor’s equity right of redemption. (Bernhardt, *California Mortgages, Deeds of Trust, and Foreclosure Litigation* (4th Ed. Cal. CEB 2024), § 3.1A.) The court will determine whether the loan is in default, order the security sold to satisfy the loan balance and cut off the debtor’s equity right of redemption, declare the debtor for any deficiency, and enter a deficiency judgment. (*Id.*)

Plaintiff contends that Mountain Cove fails to state a cause of action for judicial foreclosure because it has failed to allege that the underlying loan is a valid, legally binding contract. Specifically, Plaintiff reiterates that she never agreed to pay off the Hummer Loan from the Myer Loan proceeds. (Opp., pp. 6-7.) However, as noted above, Plaintiff's argument fails to support a demurrer because it improperly attempts to resolve the issue on its merits. As discussed above, Mountain Cove sufficiently alleged that the Myers Loan was a valid contract by attaching a copy of the Deed of Trust and pleading the legal effect of the substantive terms of the Note. Accordingly, Mountain Cove has sufficiently alleged the existence of a valid loan for pleading purposes. Plaintiff fails to challenge the second cause of action for judicial foreclosure on other grounds. **OVERRULED.**

3RD Cause of Action - Fraud

The elements of fraud are: (1) misrepresentation or concealment, (2) knowledge of falsity, (3) intent to defraud, (4) justifiable reliance, and (5) resulting damage. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 157-158.)

Fraud in the inducement is a subset of the fraud tort occurring when a promisor's consent is induced by fraud. (*Hinesley v. Oakshade Town Center* (2005) 135 Cal.App.4th 289, 294. *See also Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 973-74 ["A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. An action for promissory fraud may lie where a defendant fraudulently induces the plaintiff to enter into a contract"].)

Every element of a cause of action for fraud must be pled factually and specifically, and the policy of liberal pleading does not apply. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.) "This particularity requirement necessitates pleading *facts* which 'show how, when, where, to whom, and by what means the representations were tendered.' [Citation.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

Here, Plaintiff contends that she could not have induced Myers Retirement Plan into making the Myers Loan because Mountain Cove admits that Myers never met nor communicated with Plaintiff in any manner before making the Myers Loan. However, Mountain Cove sufficiently alleges that by signing the Note and Deed of Trust, Plaintiff promised that she intended to perform, i.e., repay the Myers Loan in accordance with its terms; that Plaintiff knew this representation was false at the time that she made it because she never intended to repay the Myers Loan; that Plaintiff made the false representation with the intent to induce Myers Retirement Plan to loan her \$265,000.00; and that Myers Retirement Plan justifiably relied on Plaintiff's representations and issued the Myers Loan, thereby resulting in damages. (FACC, ¶¶ 62-65, 67-68.) Accordingly, Mountain Cove has pleaded sufficient facts to state a cause of action for fraud against Plaintiff with the requisite particularity. **OVERRULED.**